CITISTAR FINANCIAL SERVICES LTD.

1500-1200 West 73rd Avenue, Vancouver, BC, V6P 6G5
Phone: 604-261-2123
Fax: 604-261-2193

CLIENT INFORMATION

Last Name of Client		First Name of Client	
Last Name of Joint Client		First Name of Joint Client	
Leveraging:	☐ NEW loan	☐ Change to existing loan	☐ Transfer-in from another firm

KNOW-YOUR-CLIENT (KYC)

AGE	Client:		Joint Applicant:		
CLIENT KNOWLEDGE	Client:	☐ High/Sophisticated	☐ Good/Knowledgeable	☐ Average/Fair	☐ Poor/None
	Joint Applicant:	☐ High/Sophisticated	☐ Good/Knowledgeable	☐ Average/Fair	☐ Poor/None
INVESTMENT OBJECTIVES:					
RISK TOLERANCE (%)	High:	Medium:	Low:	=100%	
TIME HORIZON	☐ 0-3 years	☐ 4-6 years	☐ 7-9 years	☐ 10 years +	

ANNUAL INCOME FROM ALL SOURCES (e.g.employment, investment, rental, other)

Income Type	Annual Amount	Monthly Income	
Employment Client	$	$	
Employment Joint Applicant	$	$	
Investment (Not including income from proposed investments)	$	$	
Rental	$	$	
Other (Specify):	$	$	
Other (Specify):	$	$	
Total Income=	$	$	

TOTAL NET WORTH ($) (New loan + Existing debts should not exceed 30%)

Asset Type	Client	Joint Applicant	
Registered Investments (less loans outstanding against securities)	$	$	
Non-Registered Investments (cash and securities less loans against securities)	$	$	
Fixed Assets	$	$	
Other (specify):	$	$	

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Other (specify):	$	$	
Other (specify):	$	$	
Total Net Worth=	$ +	$	=
TOTAL DEBT PAYMENTS (New loan + existing loans) – Does the client and/or joint applicant have any exisitng debt? If yes, please indicate in addition to any new loan information.			
Debt Type	Lender	Banlance Outstanding	Monthly Payments
New Loan		$	$
Exiing Investment Loan		$	$
Mortgage/Rent		$	$
Lease		$	$
Other (specify):		$	$
Other (specify):		$	$
Total Liabilities=		$	$
Total Liabilities (Total balance Outsanding ÷ Total Net Worth) =		% of Total Net Worth (Should NOT exceed 30% of Net Worth).	
Total Monthly Debt Payments (Total Monthly Debt Payments ÷ Total Monthly Income)		% of Total Annual Income (Should NOT exceed 35% of Income).	

General Client Criteria

The presence of ANY of the following KYC criteria should result in determination that leveraging may NOT be suitable:

- Risk tolerance is low (Where a client's risk tolerance is 100% low, leveraging is not permitted.)
- Person's age is 60 years or greater
- Time horizon is less than 5 years
- Investment loan is greater than 30% of a client's net worth. Total debt payments (including the payments for the new loan) should not exceed 35% of client's Gross income
- Invesment knowledge is Poor/None
- Client applying for the loan needs to rely on spousal income and/or net worth to qualify for the leverage
- Client is unable to withstand financial loss
- Discussion with the Client(s) on the presence of any of these General Client Criteria must be documented in the "Notes" section by the Advisor below

TERMS AND CONDITIONS OF THE LEVERAGE LOAN

Principal Loan Amount ($)	Loan Start Date	Payment Amount ($)
	MM / DD / YYYY	☐ Interest Only ☐ Principal + Interest

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NOTES

(This section is intertionally left blank to provide a space for Advisor to make notes with respect to their discussion with a client regarding leveraging. Any discussion/information material to the client's decision to engage in leveraging, not already recorded on this form, should be noted here.)

This discussion must include any of the General Client Criteria on the previous page that have not been met and a leveraging exit strategy.

Advisor must provide details in this section why leveraging is appropriate for the client.

LEVERAGING DISCLOSURE

Risk of Borrowing to Invest

Using borrowed money to finance the purchase of securities involves greater risk than a purchase using cash resources only. If you borrow money to purchase securities, your responsibility to repay the loan and pay interest as required by its terms remains the same even if the valeu of the securities purchased declines. Here are some risks and factors that you should consider before borrowing to invest:

Is it Right for You?

Borrowing money to invest is risky. You should only consider to invest if:

- You are comfortable with taking risk.
- You are comfortable taking on debt to buy investments that may go up or down in value.
- You are investing for the long-term.
- You have a stable income.

You should NOT borrow to invest if:

- You have a low tolerance for risk.
- You are investing for a short period of time.
- You intend to rely on income from the investments to pay living expenses.
- You intend to rely on income from the investments to repay the loan. If this income stops or decreases you may not be able to pay back the loan.

You Can End Up Losing Money

- If the investments go down in value and you have borrowed money, your losses would be larger than had you invested using your own money.
- Whether your investments make money or not you will still have to pay back the loan plus interest. You may have to sell other assets or use money you had set aside for other purposes to pay back the loan.
- If you used your home as security for the loan, you may lose your home.
- If the investments go up in value, you may still not make enough money to cover the costs of borrowing.

Tax Considerations

- You should not borrow to inveest just to receive a tax deduction.
- Interest costs are not always tax deductible. You may not be entitled to a tax deduction and may be reassessed for past deductions. You may want to consult a tax professional to determine whether your interest costs will be deductible before borrowing to invest.

Your advisor should discuss with you the risks of borrowing to invest.

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CLIENT AND ADVISOR ACKNOWLEDGEMENT		
I/We have reviewed this Leveraging Analysis & Disclosure with our advisor, and understand the material features and risks involved with this leveraging strategy.		
Client Name	Client Signature ×	Date MM / DD / YYYY
Joint Applicant Name	Joint Applicant Signature ×	Date MM / DD / YYYY
I have discussed the material features and risks of this leveraging strategy, based on the client's KYC and information contained within, propose that leveraging is suitable.		
Advisor Name	Advisor Signature ×	Date MM / DD / YYYY